

Although Balodimas's timing for this type of trading is an innate skill that cannot be translated and one that few traders will be able to match, many traders may nevertheless find that trading around a position improves performance and makes it easier to hold onto winning trades. As a simple example, assume you are long a stock at 50, looking for a long-term objective of 76, and expecting near-term resistance in the vicinity of 62. Given these assumptions, you might choose to reduce long exposure on an advance to the 61 to 63 zone, looking to reinstate the full position on a pullback. The potential drawback is that a retracement to the reentry level may fail to occur, in which case profits will be realized on a smaller position. On the positive side, if the liquidated portion of the position is reentered at a better price, total profits will be enhanced, and perhaps even more importantly, the ability to hold the position will be improved. Whether trading around positions is net beneficial or detrimental will be highly contingent on the individual trader. It will not necessarily be a good fit for all traders, but some traders may find it a highly useful approach.

- **Avoid euphoria**—Even though it has worked well for Balodimas for a long time, the last thing I would advise traders to do would be to sell into panic rallies. Very few traders will possess the innate timing skill and emotional stamina to pull this off successfully, and the cost of being wrong can be extreme. Still, for those who are on the right side of a market that accelerates into a parabolic move, it may well make sense to take partial or total profits while the market is in a panic state, rather than waiting for a reversal, which in these types of markets can be both abrupt and extreme when it does come. In short, if you are long a market that you would be petrified to sell, it may not be a bad idea to get smaller or get out.

Some readers will finish this chapter and think, “Balodimas has just been lucky. You can’t trade that way and get away with it. He will eventually step on a land mine.” Well, Balodimas has stepped on a land mine—many, in fact—but it hasn’t stopped his consistent forward momentum. Think about it. Balodimas averages hundreds of trades a day and has been trading for 15 years through multiple bull and bear market phases. What are the odds of